BANK OF TANZANIA
REMITTANCE AND FUND TRANSFER ARTICLES

BOT RTSIS

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1. Overview of Remittance

1.1 Definition of remittance

Remittances are household incomes from foreign economies arising mainly from the temporary or permanent movement of people to those economies. They include cash and noncash items that flow through formal channels, such as via electronic wire, or through informal channels, such as money or goods carried across borders. They largely consist of funds and noncash items sent or given by individuals who have migrated to a new economy and become residents there, and the net compensation of border, seasonal, or other short-term workers who are employed in an economy in which they are not resident (IMF BOP Manual 6th Edition). The standard components of remittances are:

(a) Personal transfers (part of current transfers),

(b) Compensation of employees (less taxes, social contributions, transport and travel),

(c) Capital transfers between households, and

(d) Social benefits.

1.2 Characteristics of remittance

(a) it has to be household to household and

(b) must be transfer (goods are provided with no exchange of something of economic value).

(c) Examples of remittances are cash or goods sent by diaspora to family members/friends for consumption e.g. food and non-food items, settlement of medical bills, contribution to ceremonies and construction/renovation of houses for family use.

(d) It is not a price paid for goods and services

(e) It excludes transfer for investment such as funds sent to family members for construction of apartment or house for rent (this is FDI), school fees sent to students abroad, purchase of goods online e.g. Amazon etc.

(f) It should be cross border by non-residents

1.3 Personal Transfers:

Personal transfers entail the current transfer received by Tanzanian households from non-resident households. It might be incomings or outgoing.

1.4 Challenges with domestic FSP

(a) Failure to indicate transaction purposes thus difficult to decompose to the correct category of remittance;

(b) Reasons for transfer not captured onto the system thus challenging the classification of remittance into correct buckets;

(c) FSP receiving inadequate reports from partners such as MTOs making even harger to comply with reporting requirements.

After a thorough discussion, it was agreed BOT to provide a list of possible reasons that shall be used to classify P2P cross-border remittances. The list below are the proposed reasons: -

1.5 Main remittance reasons

The Bank has observed that most of the reasons indicated in remittance fall within the following items: -

(a) Household consumption;

(b) School fees

(c) House rent;

(d) Residential construction for family use;

(e) Medical support

(f) Contribution to social activities; and

(g) Sending fund to self.

Based on the above, the RTSIS Team has developed Reference Lookup Table D71 as a guiding list to enable FSPs comply with remittance.

Table D: Remittance Type

Item code	Item value
1	Personal transfers (part of current transfers),
	House Consumption
	School fees
	House rent
	Residential construction for family use
	Medial Support
	Contribution to social activities
	Sending fund to Self
2	Compensation of employees
3	Capital transfers between households
4	Social Remittance
5	Others

1.6 Excluded transactions

(a) Tanzania Interbank Settlement transactions (TISS) mainly conducted to settle payment for goods and services;

(b) Domestic electronic fund transfer (EFT) transaction between banks and individuals;

(c) Investment transactions such as deposit, withdrawal, cryptocurrency proceeds, dividends, interest;

(d) Purchase of goods and services;

(e) Swift transactions conducted through bank by bank for the purpose of making payment for goods and services abroad;

(f) Proceeds of lottery and gambling;

(g) Settlement of medical bills abroad

1.7 Channel used for fund transfer

Remittances include funds that flow through formal channels, such as electronic wire, and through informal channels, such as cash carried across borders in pockets. They may consist almost entirely of funds sent by individuals who have migrated to a new economy and become residents there, and of net compensation of border, seasonal, or other short-

term workers who are employed in an economy in which they are not residents. The common channel of remittance in Tanzania include:

(a) MTO to Bank: This is the transfer directly from MTO to a domestic financial institution based on bilateral agreements;

(b) MTO to MNOs: through bilateral agreement remittance terminates in electronic wallets. This type of transfer may also involve an intermediary hub that facilitate interoperability of the remittance between MTO and the MNOs. Transactions can be doubled if the Hub and MNOs both reports the transaction to the Bank;

(c) MTO to Bureau: The Foreign Exchange (Bureau De Change) Regulations 2019, regulation 29 permits Bureau De Changes to engage into international money transfer in the East African Region. However, such transfers are only current account transactions. The regulation replicates the provision of the Foreign Exchange Circular No.6000. The transactions are normally done by SWIFT thus fall outside the scope of remittance because they normally demand supporting document on the purposes. In cases where Bureau De Change becomes agents for MTOs directly, it is possible that some of the transactions may fall within the scope of remittance. BDCs needs to segregate and report transfer and remittance separately.

(d) Mobile Money Operators: MNOs to MNOs. These type of transaction are normally domestic transactions that do not fall in the scope of remittance

1.8 Reporting Requirements

(a) To ensure each transaction has identifiable reason, then each transactions should be reported separately. Each transaction is only reported once and there should be no repetition;

(b) The ITRS list contains list that may not be relevant in the Tanzania context. FSPs are advised to use Reference Table D71 in the RTSIS model in classifying remittance;

(c) The NPS templates currently captures aggregate remittance which does not reflect reasons of remittance, and therefore it is difficult to identify the reasons and conducting a proper remittance, reconciliation. This practice is going to be abolished in the new model;

1.9 Some Use Cases

In a recent engagement with FSPs, the Bank of Tanzania observed some practices that are beyond the remittance definition. The Bank responses on each item is provided in the matrix below:

S/no	Observations	BOT Recommendations
1	Telegraphic Transfer are considered as part of money remittances regardless of the purposes	Only cross border person to person telegraphic transfer with qualifying characteristics should be included in remittance. Refer Table D71 above.
2	Domestic transfers are also included in the remittances	Domestic transfers should be excluded from remittances.
3	Swift transactions for prefunding accounts and settlement with MTOs are treated as remittances	Prefunding and settlement transactions should not form part of remittances. This will cause a double counting.
4	Inward remittances terminating in either bank accounts or e-wallets do not indicate the purpose of transfer to enable identification of remittance related transactions. Beneficiaries are availed only reference numbers to be presented to agents	Agents to request their counterparties to include the purpose in all reported transactions
5	Payment for medical bills and school fees abroad are treated as remittances	Medical bills and schools fees should be excluded as they are payment for services
6	Purchase of goods and services through online platforms such as Amazon and payments for VISA are treated as remittance.	Purchase of goods is not part of remittances
7	All transactions passing through MTOs are reported as remittances	Basically MTOs supports remittance. However, only transactions that qualify as remittances should be included
9	Transactions from Hubs to intermediary domestic banks for onward transfer to other banks or MNOs are reported both by the intermediary banks and the final recipient banks or MNOs, hence causing double counting	The remittance in this case should only be reported by the intermediary bank or MNO receiving the inward transfer from the Hub

2. Fund Transfer & Remittance

Transfer often refers to the movement of funds between entities or accounts, whether domestically or internationally. It includes a wide range of financial transactions involving payments such as government payments, payment to businesses, or personal transfer between individuals. In contrast, remittance refer to the portion of international transfers that involves individuals sending money across borders to their families or friends in their home countries. Remittance has been a key sources of income to families for most of the regions and Zanzibar and can contribute to poverty reduction and economic development.

Fund transfer and remittance are both mechanisms for moving money from one place to another, but they differ in several key aspects:

Purpose:

Fund Transfer: Typically refers to the movement of money between accounts within the same financial institution or between accounts held by the same individual or entity across different financial institutions. It can be for various purposes such as paying bills, making purchases, or transferring funds between personal accounts.

Remittance: Primarily involves transferring money from one individual or entity (sender) to another (receiver), often across international borders. Remittances are usually sent by individuals to their families or friends in their home countries or to support businesses or investments.

Scope:

Fund Transfer: Can be domestic or international, depending on the requirements of the sender and recipient. It can involve transactions within a country or across borders.

Remittance: Primarily involves international transfers, although domestic remittances within a country are also possible.

Sender and Receiver:

Fund Transfer: Typically involves the account holder as the sender and/or receiver of funds. The sender initiates the transfer, and the receiver is the designated recipient of the funds.

Remittance: Involves a sender who initiates the transfer, often an individual working abroad, and a receiver who is usually a family member or beneficiary in another country.

Regulations and Purpose:

Fund Transfer: Governed by both national and international regulations, but the purpose is generally more focused on personal or business financial transactions.

Remittance: Often subject to specific regulations and laws related to international money transfers, including anti-money laundering (AML) and know your customer (KYC) regulations. Remittances are typically associated with sending money to support family members or for personal reasons.

Service Providers:

Fund Transfer: Provided by banks, online payment platforms, money transfer operators, and other financial institutions.

Remittance: Offered by specialized remittance companies, banks, and money transfer operators that often have networks specifically designed for international money transfers.

In summary, while both fund transfers and remittances involve the movement of money, they differ in their purposes, scope, regulatory environment, and the relationships between the sender and receiver. Fund transfers are more general and can be both domestic and international, while remittances are typically international transfers primarily for personal support purposes

3. Fund Transfer in RTSIS

The scope of Transfer under RTSIS rests within the Service Category Transaction Type. Ily excludes